www.tntextbooks.in

Illustration 21

The following trial balance has been extracted from the books of Rajesh on 31st December, 2016.

Debit balance	`	Credit balance	`
Drawings	44,000	Capital	1,76,000
Plant and machinery	1,00,000	Cash sales	1,72,000
Opening stock	20,000	Provision for bad and doubtful debts	2,000
Purchases	2,70,000	Bank overdraft	20,000
Wages	62,000	Discount received	6,000
Salaries	70,000	Credit sales	3,00,000
Insurance	45,000	Sundry creditors	24,000
Rent and taxes	17,000		
Sundry debtors	50,000		
Suspense A/c	22,000		
	7,00,000		7,00,000

The following adjustments are to be made:

(a) Stock on 31st December, 2016 was ` 28,000

(b) Unexpired insurance was ` 15,000

(c) Provision for doubtful debts is to be maintained at 5% on sundry debtors.

(d) Depreciate plant and machinery at 20%.

You are required to prepare trading and profit and loss account for the year ended 31st December, 2016 and a balance sheet as on that date.

Solution

In the books of Rajesh

Dr. Trading and Profit and Loss Account for the year ended 31st December, 2016 Cr.

Particulars	`	`	Particulars	`	`
To Opening stock		20,000	By Sales: Cash	1,72,000	
To Purchases		2,70,000	Credit	3,00,000	4,72,000
To Wages		62,000	By Closing stock		28,000
To Gross profit c/d		**1,48,000**			
		5,00,000			5,00,000
To Salaries		70,000	By Gross profit b/d		1,48,000
To Insurance	45,000		By Discount received		6,000
Less: Unexpired	15,000	30,000	By Provision for bad		
To Rent and taxes		17,000	and doubtful debts		
To Depreciation on plant			(opening)	2,000	
and machinery		20,000	Less: Closing	1,000	1,000
(1,00,000 × 20%)			provision		
To Net profit (transferred					
to capital A/c)		**18,000**			
		1,55,000			**1,55,000**